- Lesson: Sell on adverse breakout from a descending triangle.

Southwest Airlines

Another trade is something I hate to see. Price breaks out downward from a triangle in a stock I own, I sell my position, and the stock reverses, busting the downward breakout. In the fall and winter of 1999 and early 2000, I bought Southwest Airlines three times for various reasons and held them all.

Price started climbing in February and leveled off in April where it flew sideways. That's when the airline stock made a descending triangle. Here's what I wrote in my notebook: "27 June 2000. I sold my entire holdings because the stock has pierced the support base of a descending triangle. With seasonal performance moving up in December and peaking in the spring [the stock hit a high in May at 15.17], I missed the high by about $3/share. *Ouch*. Oil prices are high, raising fuel costs, and interest rates are still high, maybe moving up more. So, it looks like the excitement is over although today the stock is up almost $1."

The day before I sold, the stock closed below the descending triangle. So I sold the next day, and it filled at 13.04, a few pennies above the closing price and comfortably back inside the triangle.

Price left the runway and soared into 2001. I missed out on an opportunity to make an additional 79%. However, I pocketed 25%, 27%, and 30% on the three trades.

- Lesson: I sold the day after an adverse breakout, but failed to determine how far price might fall. Based on seasonality and other factors, I sold correctly. This was a long-side trade held during a bear market in a stock that happened to continue to do well.

R.G. Barry

In R.G. Barry (RGB) I bought the stock based on fundamentals and a promising technology they had developed, but when a descending triangle appeared, I sold after the downward breakout. I took a loss, but the stock continued lower 19% below my sale price.